

With TIPS, we now have a better idea of market expectations for future inflation, though I would not call it perfect. TIPS offer a break-even inflation rate, defined as the difference in yields on the same maturity of traditional Treasuries and TIPS. TIPS yields may not reflect the true underlying real interest rate, because they have a few other components built into their pricing.

TIPS yields can be broken down into three components:

1. An implied nominal yield consisting of an underlying real interest rate and expected inflation,
2. An illiquidity premium, and
3. An inflation-protection premium.

According to [Jennifer Roush, William Dudley, and Michelle Steinberg Ezer of the New York Federal Reserve Bank](#), since the introduction of TIPS, all three of these components have boosted TIPS yields relative to conventional bonds in ways that cannot be expected to continue in the future. In particular, when TIPS were first introduced, they offered a substantial premium to compensate for this illiquid new market. The authors discuss one set of estimates that suggests as much as 200 basis points (2 percent) of the yield for early ten-year TIPS derived from this premium.

As markets became more established, the illiquidity premium declined, bringing TIPS yields down with them, suggesting that the days of 3–4 percent yields may now be a relic of history, as this premium will likely never return.

The *inflation-protection premium* is the yield investors are willing to sacrifice for the unique protection TIPS provide against unexpected inflation—similar to an insurance premium. Roush and co-authors cite several studies that believe inflation-protection premiums have been low since the introduction of TIPS, as investors may not have been too worried about inflation in these years. If true, this would also cause TIPS to sell for lower prices, meaning higher yields and a lower break-even inflation rate than otherwise possible. If inflation becomes a bigger concern in the future, then investors may be more willing to pay for an inflation-protection premium,